CSIS CHINA PROGRAMS

China Daily Brief

Friday, October 16, 2026

2,560 words · 10 min read

RE: PH-China envoy threat · Beijing proposes 40-item export curbs · Taiwan to curb AI chips to China · Yuan push, PBOC liquidity

USD/CNY	SSE COMPOSITE	HANG SENG	BRENT
6.6754	3,716.28	24,186.83	$106.18
▼ -0.25%	▼ -2.13%	▼ -0.10%	▼ -0.44%

IN THIS ISSUE Top Stories · US-China · The World · Beijing · Markets · Statements · Analysis · Overnight · The Wire · Upcoming

TODAY AT A GLANCE

1. Beijing proposed adding 40 AI, biotech and solar technologies to its export-control catalogue on Oct 16, hours after Bloomberg reported Taiwan agreeing to curb AI chip exports to China under a new US trade arrangement.
2. Manila called Chinese Ambassador Jing Quan's remark that Beijing could 'easily win' a South China Sea showdown a 'thinly veiled threat' and may summon him, as MND separately vowed 'forceful action' against anyone 'creating chaos' in the sea.
3. PBOC injected 700 billion yuan via outright reverse repos on Oct 15 as Bloomberg reported China's stimulus response arriving too late to prevent a second straight quarter of sub-target growth.

TOP STORIES

INDO-PACIFIC

Philippines calls Chinese envoy's 'easily win' remark a 'thinly veiled threat'

Chinese Ambassador to the Philippines **Jing Quan** said Thursday that Beijing could 'easily win' a military showdown in the South China Sea but had instead chosen peace, prompting Manila to call the remark a 'thinly veiled threat' and press for diplomatic restraint. The exchange follows months of Chinese moves to drive Philippine aircraft from Scarborough Shoal; the Philippine president may summon the envoy over the comments, per Bloomberg.

AP NEWS, CORROBORATED BY SCMP, REUTERS, BLOOMBERG

TECHNOLOGY

China proposes adding 40 AI, biotech and solar technologies to export control list

China's Ministry of Commerce and Ministry of Science and Technology proposed adding *40* AI, biopharmaceutical and photovoltaic technologies to the country's export-control catalogue on Oct 16, opening a public-comment period and imposing temporary registration management on affected exports in the interim. The move follows MOFCOM's Announcement No. 48 of 2026 revising the 'Catalogue of Technologies Prohibited and Restricted from Export.'

REUTERS, CORROBORATED BY BLOOMBERG, NIKKEI ASIA, MOFCOM

US-CHINA

Taiwan to curb AI chip exports to China as part of US trade deal

Taiwan agreed to curb AI chip exports to China as part of a trade arrangement with Washington, Bloomberg reported Oct 16. The dispatch did not specify which chip categories or companies are covered, or when the curbs take effect.

BLOOMBERG

PLA

China opens joint airfield in Laos, eyes on its military role

The Washington Post reported Oct 14 that China has opened a joint airfield in Laos, with construction still ongoing and questions remaining about its eventual military role in the region. The report did not specify the airfield's exact location or completion date.

THE WASHINGTON POST

PRC-ECONOMY

China's plan to make yuan a global currency enters faster phase

Bloomberg reported Oct 15 that Beijing's campaign to internationalize the yuan has entered a faster phase, though the available summary did not detail specific new measures. The yuan traded at *6.6754* per dollar Oct 16, down 0.25% on the day.

BLOOMBERG

OVERNIGHT

ENERGY

China builds gas buffer for winter as Iran war heightens risk · Bloomberg China

Bloomberg reported Oct 16 that China is building up natural gas inventories ahead of winter as the Iran war raises supply risk. The available summary did not specify the buffer's volume or which suppliers are involved.

TECHNOLOGY

Tencent says its AI agents showed unintended browsing behaviour · Reuters China

Tencent disclosed that its AI agents exhibited unintended browsing behavior, Reuters reported Oct 16. The company did not detail the scope of the anomaly or corrective steps taken in the available report.

LEGAL

Hong Kong housewife ordered into psychiatric institution over seditious posters · SCMP

West Kowloon Court ordered 62-year-old Yang Chau-ki into three months of mandatory psychiatric treatment at Siu Lam Psychiatric Centre for displaying pro-independence slogans and Hong Kong's colonial-era flag. She was charged under Hong Kong's Article 23 for seditious publications.

CROSS-STRAIT

Taiwan blocks Coinbase, Kalshi over suspected election bets · Taipei Times (direct)

A New Taipei court authorized Taiwan's communications regulator to block domestic access to Coinbase and Kalshi over suspected election betting ahead of the Nov 28 local elections. The Criminal Investigation Bureau cited concern over 'overseas interference' under the Public Officials Election and Recall Act.

CROSS-STRAIT

Taiwan plans US industrial parks with private funding, government aid · Focus Taiwan

Focus Taiwan reported Oct 16 that Taiwan plans to build industrial parks in the United States using private funding supplemented by government aid. The available summary did not specify locations, sectors or a timeline.

TRADE

Japan opens anti-dumping probe into Chinese titanium dioxide pigments · MOFCOM Trade Remedy Info ZH

Japan initiated an anti-dumping investigation into Chinese rutile-type titanium dioxide pigments and preparations, China's trade-remedy information site reported Oct 16. No further detail on the investigation's scope or timeline was given.

DOMESTIC

Xi Jinping inspects Ulanqab, Inner Mongolia · MND ZH

State media reported **Xi Jinping** conducting an inspection tour of Ulanqab in Inner Mongolia, the first reported public activity after a 41-day gap in confirmed appearances tracked by outside monitors. The dispatch gave no further detail on the visit's agenda or accompanying officials.

US–CHINA

DIPLOMACY · REUTERS CHINA

Trump says he is talking to Russia and China about denuclearization

President **Trump** said the United States is in talks with Russia and China about denuclearization, Reuters reported Oct 16. The report did not detail format, timeline or specific proposals discussed.

DIPLOMACY · CNBC CHINA

Nvidia's Jensen Huang urges US-China dialogue on 'potentially dangerous' AI

Nvidia CEO **Jensen Huang** called for US-China dialogue on AI he described as 'potentially dangerous,' telling CNBC he maintains ongoing 'dialogs' with researchers in China. The comments come as Washington and Beijing continue negotiating advanced-chip export terms.

INVESTMENT · BLOOMBERG CHINA

Canada's pile of US bonds grew by nearly $600 billion; some see China at work

Canada's holdings of US Treasury bonds grew by nearly *$600 billion*, Bloomberg reported Oct 15, with some analysts suggesting China may be using Canadian intermediaries to maintain dollar-asset exposure. The dispatch did not identify specific institutions or transactions under scrutiny.

LEGAL · REUTERS CHINA

Google warns suspected China-linked hackers could exploit BeyondTrust flaw

Google warned that suspected China-linked hackers could exploit a vulnerability in BeyondTrust software, Reuters reported Oct 15. The advisory did not name specific victims or confirm active exploitation.

CHINA & THE WORLD

CROSS-STRAIT · TAIPEI TIMES (DIRECT)

Taiwan's MND on guard for PLA exercises as 'peak season' nears

Taiwan's MND said it is using joint intelligence, surveillance and reconnaissance capabilities to watch for large-scale PLA exercises as the November-December 'peak season' for Chinese drills approaches. Deputy Chief of the General Staff for Intelligence **Pan Chun-kuang** said a **Liaoning**-led carrier fleet began 'routine drills' in the western Pacific on Oct 14.

CROSS-STRAIT · REUTERS CHINA

Taiwan tells its people to shun Chinese anniversary events for revolutionary hero

Taiwan's government told citizens to avoid Chinese commemorative events tied to a shared revolutionary historical figure, Reuters reported Oct 16. The available summary did not specify which anniversary or figure was involved.

JAPAN · KYODO CHINA

Japan defense chief vows to boost monitoring after sailing of China carrier

Japan's defense minister vowed to step up monitoring after a Chinese aircraft carrier sailed through waters near Japan, Kyodo reported Oct 16. Taiwan's MND separately said the carrier was part of a **Liaoning**-led fleet that began 'routine drills' in the western Pacific on Oct 14.

KOREA · AP CHINA

New China-North Korea bridge opens after more than a decade of delay

North Korea and China held an opening ceremony Oct 15 for a new Yalu River bridge linking Sinuiju and Dandong, a cable-stayed span completed in 2014 but left unopened for *12 years* over unfinished approach roads on the North Korean side. North Korean Premier Pak Thae Song and Chinese Premier **Li Qiang** delivered video remarks at the ceremony.

INDIA · BLOOMBERG CHINA

Sitharaman says China's trade barriers are biggest hurdle to ties

Sitharaman said China's trade barriers remain the biggest hurdle to bilateral ties, Bloomberg reported Oct 16. The comment follows MOFA's statement the same day that Beijing 'has never deliberately pursued a trade surplus,' after India's trade deficit with China was reported at $112 billion earlier this month.

EUROPE · BLOOMBERG CHINA

EU to bolster its power to block Chinese imports in trade fight

The EU is preparing a new trade tool giving Brussels power to block Chinese imports from the single market, Bloomberg reported Oct 15. The available summary did not specify the legal mechanism or targeted sectors.

EUROPE · REUTERS CHINA

China ready to cooperate with EU in tackling global imbalances

China said it is ready to cooperate with the EU in tackling global economic imbalances, Reuters reported Oct 16. The available summary did not name a Chinese official or specify proposed joint measures.

MIDDLE EAST · REUTERS CHINA

China says Israel should stop 'forced establishment' of West Bank settlements

China's Foreign Minister **Wang Yi** called on Israel to 'cease and withdraw' from the 'forced establishment' of West Bank settlements and reopen Gaza Strip aid access, Reuters reported Oct 16. The comments came as Wang attended the CICA summit in Baku, where he also met the Palestinian foreign minister.

MULTILATERAL · REUTERS CHINA

China targets practical action from global governance forum next week

China said it wants 'practical action' from a global governance forum scheduled for next week, Reuters reported Oct 16. The available summary did not name the host city or confirm an attendee list.

STAT OF THE DAY

¥700B

PBOC outright reverse repo operation, Oct 15

Included a *200 billion yuan* increase in the 6-month tenor; the injection lands as Bloomberg separately reports China's stimulus push arriving too late to prevent a second straight quarter of sub-target GDP growth.

PBOC ZH / Bloomberg

ECONOMY & BUSINESS

FINANCE · BLOOMBERG CHINA

China moves to prop up stock market with selling curbs, buybacks

Beijing is deploying selling curbs and buyback encouragement to support its stock market, Bloomberg reported Oct 16, after the SSE Composite fell *2.13%* on the day.

FINANCE · BLOOMBERG CHINA

China's 'national team' signals return with heavy ETF inflows

State-linked funds known as China's 'national team' showed heavy ETF inflows, Bloomberg reported Oct 16, signaling renewed market-support buying.

MACRO · BLOOMBERG CHINA

Tardy China stimulus sets up second quarter of sub-target growth

Bloomberg reported Oct 16 that delayed stimulus measures have set China up for a second consecutive quarter of growth below its official target.

TECH / MICRON, SK HYNIX, SAMSUNG · CNBC CHINA

Memory stocks hammered on China competition, 2029 oversupply fears

SK Hynix, Samsung and Micron shares have been hit hard amid fears of Chinese competition and a looming 2029 memory-chip oversupply, CNBC reported.

FINANCE · REUTERS CHINA

China's super-rich scramble to exit offshore trusts as taxman knocks

Wealthy Chinese individuals are rushing to unwind offshore trusts and raise cash as tax authorities increase scrutiny, Reuters reported Oct 16.

AUTO / HUAWEI, MAEXTRO · REUTERS CHINA

China investigates reported brake pedal bracket fracture in Huawei-backed Maextro EV

Chinese regulators opened an investigation into a reported brake pedal bracket fracture in the Huawei-backed Maextro EV, Reuters reported Oct 15.

TECH / YUANJIE SEMICONDUCTOR TECHNOLOGY · SCMP

China's AI boom, self-sufficiency push fuel earnings surge for chip firms

Shanghai-listed Yuanjie Semiconductor Technology expects third-quarter net profit of 403-453 million yuan, up *579% to 660%* year-on-year, as domestic AI-chip demand surges.

WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · FRIDAY, OCTOBER 16, 2026

中国人民银行·PEOPLE'S BANK OF CHINA

Conducts large outright reverse repo operation

PBOC conducted *700 billion yuan* in outright reverse repos on Oct 15, including a 200 billion yuan increase in the 6-month tenor, alongside separate 45 billion and 60 billion yuan 7-day reverse repo operations this week.

→ PBOC ZH ↗

商务部·MINISTRY OF COMMERCE

Holds second round of talks to upgrade Vanuatu economic partnership agreement

The second round of negotiations to upgrade the China-Vanuatu Economic Partnership Agreement was held in Beijing, continuing Beijing's Pacific Islands economic diplomacy push.

→ MOFCOM ZH ↗

WHAT BEIJING IS SAYING

外交部 · MOFA · RESPONSE TO TRUMP'S DENUCLEARIZATION REMARKS

FIRM · TO US

Mao Ning '· MOFA spokesperson

“Per MOFA: The US should earnestly fulfill its special and primary responsibility for nuclear disarmament.”

美方理应切实履行核裁军的特殊优先责任

Trump said the US is in talks with Russia and China about denuclearization, per Reuters' Oct 16 report.

MOFA presser ZH

外交部 · MOFA · WHITE HOUSE PRESS SECRETARY'S 'TOILET' COMMENTS ABOUT CHINA

ROUTINE · TO US

Mao Ning '· MOFA spokesperson

“We welcome her to visit China more often when she has the opportunity.”

White House Press Secretary Katie Zacharia said in an interview that China lacked 'proper toilets,' recalling a 2016-era impression.

AFP

外交部 · MOFA · INDIA'S TRADE BARRIER COMPLAINT

ROUTINE · TO INDIA

Mao Ning '· MOFA spokesperson

“Per MOFA: China has never deliberately pursued a trade surplus.”

中方从不刻意追求贸易顺差

India accused China of erecting trade barriers after Finance Minister Sitharaman called them the biggest hurdle to bilateral ties.

MOFA presser ZH

国防部 · MND · SOUTH CHINA SEA TENSIONS WITH THE PHILIPPINES

WARNING · TO PHILIPPINES

MND spokesperson '· Ministry of National Defense spokesperson

“Per MND: China will take forceful action to curb any attempt to create chaos in the South China Sea.”

中方将以有力行动遏制任何祸乱南海的行径

Comes as Manila protested Chinese Ambassador Jing Quan's remark that Beijing could 'easily win' a South China Sea military showdown.

MND ZH

国台办 · TAO · TAIWANESE ENTERTAINER'S APPEARANCE AT PRO-INDEPENDENCE CAMPAIGN EVENT

FIRM · TO TAIWAN

TAO spokesperson '· Taiwan Affairs Office spokesperson

“Upholding reunification and opposing 'Taiwan independence' is the common will of the entire Chinese people; no one and no force can enjoy the mainland's development dividends while colluding with 'Taiwan independence' separatist forces as a 'two-faced person.'”

维护统一、反对"台独"是全体中国人民的共同意志，任何人、任何势力都不能一边赚取大陆发展红利，一边与"台独"分裂势力勾连纠缠，做"两面人"。

Taiwanese entertainer Cai Kangyong appeared at the campaign launch of DPP Taipei mayoral candidate Shen Boyang, prompting the TAO rebuke.

TAO ZH

WHAT OTHERS ARE SAYING

TAIPEI TIMES · OCT 16, 2026

Pan Chun-kuang · Deputy Chief of the General Staff for Intelligence, Taiwan Ministry of National Defense

“We see this as behavior that disrupts regional stability.”

Comment came as Taiwan's MND said it was tracking a Liaoning-led carrier fleet conducting what Beijing called 'routine drills' in the western Pacific, ahead of the PLA's November-December peak drill season.

source

AFP · OCT 16, 2026

Katie Zacharia · White House Press Secretary

“How is China the next country on the horizon? They don't even have proper toilets.”

The remark, recalling 2016-era perceptions of China's rise, prompted MOFA spokesperson Mao Ning to invite Zacharia to visit China 'more often.'

source

THE WIRE

ECONOMY

WSJ CHINA

Kimberly-Clark forecasts quarterly sales decline after China social-media firestorm

Kimberly-Clark forecast a quarterly sales decline following a social-media backlash in China, WSJ reported.

BLOOMBERG CHINA

Everyone wants a bite of China's egg tart economy

Bloomberg profiled how KFC and rivals turned egg tarts into a fast-food hit across China.

AUTO

WSJ CHINA

Chinese automakers focus on international expansion despite limits

Chinese automakers are prioritizing overseas expansion despite market-access limits abroad, WSJ reported.

TRADE

FT CHINA

FT answers readers: who's winning the US-China trade war?

FT's trade writers fielded reader questions on who is winning the US-China trade war.

BLOOMBERG CHINA

EU begins assessing additional sectors for China trade quotas

The EU began assessing additional sectors for potential China trade quotas, Bloomberg reported.

DIPLOMACY

ECONOMIST CHINA

China channelling much more money to poor countries

China is channelling significantly more money to poor countries, The Economist reported.

TECHNOLOGY

ECONOMIST CHINA

China captures market for hobbyist 3D printers

China has captured the global market for hobbyist 3D printers, The Economist reported.

HEALTH/REGULATORY

BLOOMBERG CHINA

Black mold, bugs found at Chinese plants making GLP-1 compounding agents

FDA inspectors found black mold and insects at Chinese plants making GLP-1 compounding agents, Bloomberg reported.

UPCOMING

Oct 25 — **UN Resolution 2758, 55th anniversary**
Marks 55 years since the 1971 resolution recognizing the PRC as China's UN representative; Beijing and Washington continue to contest interpretations of the resolution's scope regarding Taiwan.

Nov 3 — **US midterm elections**
All 435 House seats and 35 Senate seats are contested; the outcome will shape the China policy agenda for the rest of Trump's term.

Nov 10 — **Busan-deal suspensions approach lapse**
The one-year suspensions of the BIS Affiliates Rule and China's Oct 2025 rare-earth export controls, agreed at Busan, are due to lapse around this date unless extended.

Nov 18 — **APEC Leaders' Meeting, Shenzhen**
China hosts the APEC summit Nov 18-19; Trump's attendance and any Trump-Xi meeting remain unconfirmed.

Nov 28 — **Taiwan nine-in-one local elections**
Voters choose 22 mayors and magistrates and roughly 11,000 local offices, read as a mid-term test for President Lai Ching-te.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

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